

subdivision for a flat or triangle in progress. By March 5, 1987, *The Elliott Wave Theorist* had concluded, "It is becoming increasingly clear that if wave X is indeed still in force, it is probably tracing out a triangle pattern." That issue depicted as the second-best interpretation a triangle (see Figure 17-2), complete with a dashed-line forecast for the expected form of the rest of the bear market that still pertains today.

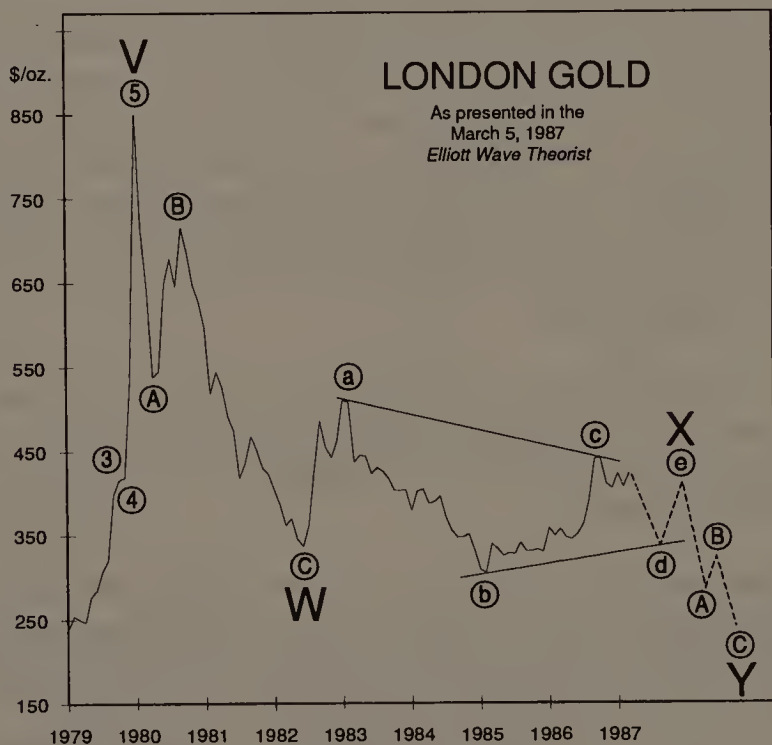


Figure 17-2

Wave © took longer and went higher than expected, ending in December 1987. Nevertheless, once again, the market turned down. In early 1989, the long term situation was reviewed in detail and summarized this way:

Since 1980, *The Elliott Wave Theorist* has made a case that gold has been tracing out a major bear market pattern. The best interpretation of the wave status has been that the first phase of bear market ended in June 1982 at the termination of [wave W]. From there, gold began an intra-bear market recovery pattern, to be labeled "X." That partial recovery pattern, which has retraced a Fibonacci 38.2% of wave W, is either an (A)-(B)-(C) that ended in December 1987 or an (A)-(B)-(C)-(D)-(E) triangle that requires one more